The Psychology of Speculation

Henry Howard Harper · 1926

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THE PSYCHOLOGY OF SPECULATION

THE
PSYCHOLOGY OF SPECULATION

THE HUMAN ELEMENT IN STOCK MARKET
TRANSACTIONS

BY
HENRY HOWARD HARPER

WITH
ILLUSTRATIONS BY HAYDON JONES

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THE PURPOSE OF THIS BOOK

There are many persons who, although knowing a great deal about the stock market, do not realize that the reason why they cannot “beat” it, is that they know too little about themselves. There are others who know their limitations well enough to let this monster problem alone. As it is important that one should learn to swim before plunging into deep water, so it is well to know some of the dangers of the stock market before delving into it.

It is not the purpose of this book to dissuade anyone from buying and selling securities, but merely to point out some of the stumbling blocks and handicapping influences that speculators, and even investors, are sure to encounter.

H. H. H.

THE
PSYCHOLOGY OF SPECULATION

THE HUMAN ELEMENT IN STOCK MARKET TRANSACTIONS

The stock market literature of the past thirty years would make a vast library in itself—one that would provide reading for a lifetime. Perhaps there is no other subject, apart from the eternal topic of love, in which more people are vitally concerned, either directly or indirectly. Since most of the country's wealth and commerce is controlled by corporations whose securities are listed on the various stock exchanges, the price fluctuations, which often reach the daily aggregate of hundreds of millions of dollars, either in loss or enhancement of value, are necessarily a matter of general concern. In 1925 the stock transactions on the New York Stock Exchange alone amounted to the stupendous and unprecedented total of well over 452,000,000[8] shares, while the sales of listed bonds totaled more than $3,398,000,000. These figures, of course, do not include the unknown billions of dollars worth of securities bought and sold on a dozen or more other exchanges and through private channels.

In addition to the large daily grist of "Market Opinions," many books and pamphlets are written which purport to be "Guides to Traders," or up-to-date recipes for "Beating Wall Street." They set forth an exhaustive array of statistics, instructions and warnings; they furnish elaborately charted plans indicating many of the pitfalls of speculation; they tell how to avoid these, how to buy, what to buy, when to buy and how to make money; but while the theories advanced are oftentimes sound and easily comprehended, very few people profit by them, because when once caught in the maelstrom of stock speculation the average man becomes more or less mesmerized, and at critical moments his conservatism, his resolutions and his theories all take flight. Under the discomposing influence of a rapid succession of

changing values and alternating impulses he loses his[9] perspective, is incapable of calm reasoning, and is likely to do precisely the opposite of what he had intended doing. Like a piece of driftwood in a swirling stream, his actions are controlled less by personal instigation than by the currents about him. Therefore to write, however intelligently, or to read, however studiously, about how to make money in the stock market is largely wasted effort in imparting, also in acquiring, information that does not adequately inform. Not that the instructor's premises are faulty, or that the reader is deficient in understanding; but that the difficulties which necessarily attend the application of the scheme of operations[10] subsisting in the mind of the author are so perplexing and disconcerting that the disciple becomes incapable of adhering to sound basic principles. And it must be perfectly obvious to anyone that even the teacher himself is not a master, but merely an expounder, of his own principles; for otherwise he would be a capitalist instead of a professional scribbler. Notwithstanding the many excellent books which have been written on the subject, the real secret of stock market success still remains (and probably always will remain) locked up in the bosoms of a few who are too busy to write, and too rich to feel the need of writing.

THE PERNICIOUS INFLUENCE OF THE STOCK TICKER

The individual who trades or invests in stocks will do well to keep away from the stock ticker; for the victim of "tickeritis" is no more capable of reasonable and self-composed action than one who is in the delirium of typhoid fever. The gyroscopic action of the prices recorded on the ticker-tape produces a sort of mental intoxication, which foreshortens the vision by involuntary submissiveness[11] to momentary influences. It also produces on some minds an effect somewhat similar to that which one feels after standing for a considerable time intently watching the water as it flows over Niagara Falls. Dozens of people, without any suicidal intentions,[12] have been drawn into this current and dashed on the rocks below. And thousands daily are influenced by the stock ticker to commit the most fatuous blunders.

As a camera fails to record a true picture if placed in too close juxtaposition to the object, so in studying the ticker-tape one is restricted to a close-up view of conditions, resulting in a distorted gauge of values; for the figures recorded often mislead and confuse the attentive observer; in fact it frequently happens that the price fluctuations result from a wave of hysteria among a coterie of traders, and bear but little analogy to the true value of the stocks. To illustrate this point more explicitly, the stock of almost any conservatively capitalized and well managed concern paying six dollars annually in dividends has an investment value of from $85 to $100 a share; but in the ups and downs of the market the stock gets buffeted about on the exchange in obedience to the varying sentiments of traders, sometimes selling as low as $50, and at other times as high as $150, without any change whatever in the company's earnings, its prospects, or its management.[13] (These matters will be dealt with a little farther on,

and exemplified by showing their effects upon the mentalities of various types of speculators.) It does not follow that one who keeps in touch with the stock market by telephone, or through the daily papers, will find his path free from thorns and snares; but he will at least have a more open perspective than one who submits to the influence of the ticker.

Any intelligent trader may reason out exactly what he ought to do under certain specific conditions; but in the quickly shifting and uncertain process of determining values he loses his mental poise; and experience proves that anyone whose reasoning faculties become confounded is apt to be affected by some form of hysteria, and will frequently do the opposite of what he would do under normal conditions.

The most copious and the most unreliable financial writers are the market "tipsters" who write daily letters of advice to an army of subscribers, and claim to have more or less positive knowledge of what certain stocks or groups of stocks are going to do marketwise.[14] They often profess to have definite "inside information," which any subscriber may receive at a stated price, ranging anywhere from $10 a month upward. These false financial prophets, who lead a horde of blind followers, should not be confused with reputable bureaus and statistical experts who base their opinions and their advice to clients upon a logical analysis of general conditions.

Henry Fielding wrote a whole essay to prove that a man can write more informingly on topics of which he has some knowledge than on matters that he knows nothing about. He believed also that mankind is more agreeably entertained by example than by precept; therefore it is not the purpose of this discourse to teach anybody anything, unless perchance something may be gained by example or suggestion. There

are four subjects on which advice, however good, is generally wasted,—politics, stock speculation, religion, and love; for in these matters grown-ups rarely follow the advice of others, and when they do, if they profit by it they take all the credit to themselves, whereas if they lose they always blame the adviser. Such are the inexorable[15] and universal laws of human nature.

Anyone may relate his own stock market experiences, or those of others—perhaps to the surprise or enlightenment of his audience. He may even venture his opinions on the subject; but for anybody to assume that he can continuously operate an unfailing system of making money on stock or grain exchanges would be equivalent to asserting that he could invert the fundamental laws of psychology, or that he could beat the game at Monte Carlo by scientific methods. Many have tried both, to their sorrow.

And still, hundreds of thousands of people continue to play at gambling tables, and hundreds of thousands speculate in stocks. There are many persons who gamble moderately all their lives, just as some drink moderately all their lives, with no resultant harm; while with others both of these inhibited practices become fixed and ruinous vices. Since trading in stocks has the appearance of being an easy way of making money, it is one of the most alluring pursuits of modern times; and from this very fact, although legalized for all,[16] it is susceptible of becoming one of the most dangerous habits known. It is dangerous for the confirmed addict not only because he is apt to lose, but for the reason that it distracts his attention from business in daytime and frequently destroys his rest at night. But as it would be folly to advise people not to embark in commercial pursuits because statistics show that upwards of ninety per cent. of business ventures result in failure, so it would be useless to caution people not to trade in stocks because it is a hazardous undertaking in which a peculiar sort of

sagacity and self-control are the only safeguards against certain disaster.

Most people of sturdy mentality are unwilling to admit that they could be made easy subjects of hypnotic influences, and would scout the idea that mere business transactions in securities could effect any undue subversion of their equipoise. The average human mind is, however, incapable of maintaining its equilibrium under the strain of great excitement; and no amount of knowledge, either inherent or acquired, no amount of experience, however dearly bought, will enable one[17] always to think intelligently or act wisely under highly nerve-racking conditions. It is said that persons who become disoriented in a forest will almost invariably go in the wrong direction (I have done so myself on two different occasions); and that in an effort to salvage goods from a burning house they will throw mirrors and other fragile articles out a third-story window and carry pillows downstairs.

THE DISCONCERTING EFFECT OF SUDDEN LOSSES AND GAINS

There are but few things more unbalancing to the mind than the act of suddenly winning or losing large sums of money. A few years ago at Monte Carlo I was in company with a friend, a well known man of affairs who while there played at roulette nearly every day, merely as a pastime. He was of mature age, naturally methodical, conservative, temperate and cool-headed. He made it an unalterable rule to limit his losses to $200 at any one sitting, and on losing this amount he always stopped playing. His bets were usually limited to two dollars on the numbers, and never doubled except for one[18] turn of the wheel when his number won. He generally played three numbers at a time; never more than four. For ten consecutive sittings luck was against him and each time he had lost his stake of $200. I saw him get up and leave the room, apparently in a state of disgust. An hour or so later I discovered him at a roulette table in another room stacking his chips in piles on a dozen or more numbers. Now and again when he exceeded the limit the watchful croupier reduced his bets and pushed a few disks back to him. In addition to betting on the numbers he was staking a thousand franc note on one of the three columns, another thousand on the colors, and a like amount on the center dozen. In one run he lost seventeen consecutive bets on red, of a thousand francs each. His eyes were bloodshot, his fingers twitched, and plainly he was under the strain of great agitation. He continued to play for three hours or so, when all of a sudden he got up, stood for a moment looking dazedly about, then left the table. He afterwards told me that he lost twenty thousand dollars; and that he hadn't the slightest recollection of anything that happened[19] during the play, nor did he realize the amount he was betting. In this connection, it is a fact not generally

known, that many rich men sign printed cards of instructions to the proprietor of a certain well known gambling club in the South, directing him to stop their play and refuse them further credit beyond a certain specified sum on any one day or evening of play, and refusing to become responsible beyond that amount. If men who trade in the stock market were to impose like restrictions upon their transactions the losses would in many cases be greatly minimized.

RETIRED BUSINESS MEN IN THE STOCK MARKET

Retired business men suffering from *ennui*, have often had recourse to the stock market as a means of stimulating their emotions and expanding their fortunes; with the result, in the first of these purposes they have usually succeeded beyond their expectations, while in the second they have met with uncharted obstacles. Some years ago when many of the great trusts were in process of formation a well known Pittsburgh magnate sold out his business to the United States Steel Corporation[20] and later bought a home in New York and turned his attention to stock speculation. After plunging into a boiling market and buying thousands of shares at top prices, the trend eventually changed and he found himself on the crest of a tobogganing market with more than a hundred thousand shares of speculative stocks. At length when the pace threatened both his fortune and his peace of mind, in a fit of disgust he dumped his holdings overboard and proceeded to damn the market, the broker and everything else, including himself for being such an unlucky simpleton.

"My dear Mr. Blank," said his broker, "you are possibly quite justified in all your abuse, except that of yourself, to whom you really should apologize, since you do yourself a great injustice. You have had six months' experience in this game at an expense of a little less than two millions of dollars, whereas at the pace you began you were due to lose at least five times that amount but for your rare judgment and cool-headedness."

"But why in hell didn't you tell me all this before?" inquired the irate customer. To[21] which the broker calmly replied, "It's my business to *take* orders; not to give directions to a man of your understanding."

When the American Hide and Leather Company was formed a number of years ago, a prominent Boston leather merchant of my acquaintance, sold his business to the new organization for a round million dollars in preferred stock and bonds, and in the course[22] of the next few years of more or less restless inoccupation he devoted himself to a systematic study of investment securities and general stock market conditions. The panic of 1907, when values were almost entirely lost sight of in the mad scramble to liquidate stocks, afforded a rare opportunity to view the follies of reckless speculation, and our astute leather merchant was quick to observe the importance of this salutary lesson. The recovery that followed was almost magical, and many who bought stocks at the low prices doubled their money in a few months. Then following this sharp recovery there was the natural setback when speculators undertook to convert their new wealth into cash. And this too proved a wholesome lesson to our new apprentice in the game of high finance. For some years he had held to the conservative practice of investing only in non-speculative bonds, but this proved to be a slow and monotonous process of enlarging his fortune; furthermore it was devoid of the exciting thrills experienced by those who make fortunes overnight. He thought the funds of widows and orphans ought properly to be[23] invested in gilt edge bonds and mortgages, but for a man of his business sagacity, in the prime of life, to content himself with merely cashing his coupons every six months was to decline into a state of innocuous desuetude—a condition into which he was determined not to retrograde. To launch one's bark into the rapidly shifting currents of fortune in the stock market and attempt to steer an even course is one of the surest preventives of *ennui*, and after deliberately weighing and analysing conditions from every conceivable angle our erstwhile leather merchant concluded that cutting a few coupons now and then was too tame an occupation for a man of his acumen and ambition. He

informed his friends that after years of careful study of the "game," he was convinced that the reason why people lost, was that while in theory they all had the right ideas, they all used wrong formulas in practice. He declared that the "public," so-called, always "bought at the top and sold at the bottom"—a commonplace in stock market parlance, though not necessarily true. Also that the inclination of all speculators is to venture out beyond their[24] depth, i. e., to buy more stocks than they can pay for, or protect by ample margin. This indiscretion he thought to be especially characteristic of those with but small capital, whose eagerness for large gains outstripped their conservatism and exposed them to the perils of abrupt and unexpected reactions and panics. He had never bought more hides and leather than he could pay for, either with his own funds or with money easily borrowed from banks; he would never buy more stocks or bonds than he could pay for, or protect with sufficient margin to carry them through the severest depression.

He was a self-made man; he had entered his firm as errand boy, and by sheer force of perseverance, ambition and intellect he rose steadily in usefulness and power until he became sole proprietor of the whole establishment. His prestige and the bulk of his fortune had been made in buying and storing goods when the markets were glutted and prices were low, and holding them till the markets were bare and prices were high. After accumulating large stores it sometimes required a year or more of patient waiting[25] for the readjustment of trade conditions; but never had there been a time when during a given cycle, prices had not been abnormally low and also abnormally high. He reckoned his twenty-five years of this sort of training as a singularly qualifying element of success in buying and selling stocks. This undertaking, like dealing in hides and leather, required forethought, discretion, patience and courage. There was scarcely a two-year period in any decade

wherein stocks in general could not be bought reasonably cheap; nor was there a similar period when at some time during the twenty-four months they could not be sold at fairly high prices. Statistics proved this to be almost infallibly true; statistics likewise proved that the preponderance of failures in his own line of business could be traced to injudicious purchases of large stores of merchandise at high prices, with resultant inventory losses. As a merchant he had learned that buying and selling leather and hides at a profit was a matter of forecasting future conditions in the light of past events; and as a student of stock market conditions he learned that a recovery of values *always*[26] follows a prolonged slump in the price of stocks, and that sure success awaits those who pick the right psychological moments to buy and sell.

In due time this retired merchant secured a desk in a brokerage office and undertook to study the stock market systematically at close range, and to reduce some of his theories to actual practice. He did not launch into this new venture as one would plunge into a cold bath; he patiently watched the action of the market from day to day, until stocks declined to a point where it seemed safe to begin buying on a scale down. Meanwhile he continued to study stock market charts and conditions—charts with double bottoms, double tops, pyramids and all such enlightening information—about[27] past performances. At length he bought a few hundred shares of selected stocks, depositing bonds as margin—ample margin of fifty points or more. Prices reacted a little further, and in keeping with his motto, which was—"Buy on the decline, when the public is getting out, and sell on the rise when the public is getting in," he increased his holdings at every two or three points decline. In the course of time the market faced about, stocks began to recover, and in a few weeks he had the satisfaction of seeing his plans work out successfully in experiment, with a net gain of

enough to cover interest on his investment for more than four years. According to precedent a temporary reaction was due; therefore, like most wary beginners, he sold out and cashed in his profits. In his exhaustive study of stock market psychology he had learned that while it is the practice of inexperienced traders to take small profits on stocks in a rising market, it is also their custom to buy the stocks back again at much higher figures, instead of waiting for prices to decline. This was one of the danger pits charted on his[28] course of action; one of the many against which he had built up mental fortifications, strong enough in seasons of peace and calm, but in most people easily destructible by the baffling influences of stock market speculation.

Although a beginner in practice, he was a veteran in theory, for prior to entering the financial arena he had made hundreds of imaginary purchases and sales, nearly always at a profit. Moreover he had discovered that one may play both sides of the market, apparently with equal safety, and that the biggest “killings” are said to be made on the “short” side. By selling “short” on bulges and “covering” (i. e., buying the stock in to cover the sale) on reactions, it was possible not only to make money both ways, but also to avoid the tedium of waiting inertly for opportune occasions to buy at bargain-prices. From the experience of others he derived a valuable lesson, namely, that investors and traders are always too eager to keep their capital constantly employed; that they are prone to hold stubbornly to one position, either long or short; and that the wellnigh[29] irresistible impulse to get back into the market after selling out, whether at a profit or a loss, has probably been the ruination of more speculators than any other one cause. Playing the market both ways seemed a sure means of forestalling this error.

STOCK MARKET TRANSACTIONS APART FROM GAMBLING

The thought of becoming a stock "gambler" was farthest from this man's mind; for gambling in any form was contrary to his code of ethics. But buying and selling legitimate commodities could not be construed as gambling; therefore stocks and bonds, being legitimate commodities, could be bought and sold without doing violence to the most sensitive conscience. In order to gamble, one must "risk or stake something on an uncertain event;" which is popularly regarded as a vice, and is made legally wrong because it is said to be injurious to the public morals. It also is morally wrong to gamble, because if you win you deprive your fellow-being of something without giving any adequate return. Our friend contended that stocks bought at figures below their intrinsic value[30] are so sure to advance, that the transaction does not come within the given definition of the word *gamble*; also that the same rule applies to stocks sold at prices far above their worth, no matter whether for long or short account. He reasoned that if he gained by selling a stock short, although someone was apt to be the loser, he had no means of knowing who that someone was, therefore he assumed no moral responsibility in prudently acquiring money in a businesslike way, even at the expense of some indefinite person who had been foolish enough to risk it. If the act of selling stocks which one does not own is regarded by some as being unethical in the strictest sense, it is at least sanctioned by general custom. All sorts of goods are sold for future delivery, even before they are manufactured; and our erstwhile merchant had often sold leather for forward delivery, while it was still in process of tanning; hence he had no scruples against selling stocks in anticipation of being able to buy and deliver them later.

It is generally conceded that the public is always arrayed on the “long” side (that is,[31] the buying side) of the market; it is also universally admitted, at least by those who know, that the so-called “public” always bears the brunt of stock market losses; therefore our friend decided that he would act the part of wisdom and go “short” of the same number of shares that he had previously bought and sold,—the idea being that before selling his long stock he convinced himself that approximately the top prices had been reached, in which case the market would naturally react. But for some inexplicable reason it failed to run true to his expectations; that is, the probable course deducible from charts and precedents. Per contra, the prices continued stubbornly to rise. When he had lost all his profits he backed his judgment by his actions, and doubled his short sales; and at five points higher he doubled again, for a break was long overdue. Being short upwards of three thousand shares in a rapidly rising market is a tremendous mental strain, even for a seasoned trader; and naturally our novice became somewhat nervous. Some stock market wiseacre—one or more of which class are usually to be found lounging[32] about every brokerage office—consolingly remarked that while stocks have a certain fixed bottom, they have no top; which increased his anxiety.

After studying charts and various compilations of figures and facts about earnings and past market performances, he concluded that Bethlehem Steel, selling at $45 a share, was not worth half that price; also that Studebaker at $35 was much too high. After an extended inquiry into the past and prospective earnings of these two companies he sold short a thousand shares of each; but instead of reacting they steadily maintained their upward course with the rest of the list. His broker called for more margin, and he put up another hundred thousand in bonds. He was advised to “cover” and go “long,” but he stood firmly by his convictions—and the charts.

“That’s why the public all lose,” he declared; “they get ‘cold feet’ and shift positions at the wrong time.” From a personal friend who was a director of the new General Motors Corporation he got an “inside tip” that that stock, selling at $82, was too high,[33] so he added a few hundred shares of it to his short account. Meantime the country’s commerce and the entire group of stocks, moved forward with the steady even tread of an army on parade.

THE STOCK MARKET PRODUCES A NEW PHENOMENON—TURNS WORLD-WIDE DISASTER INTO LOCAL PROSPERITY

At this time (1915) the major portion of the civilized world was embroiled in a mad turmoil, employing every known device and resource in destroying human life and every form of physical property. With the very foundations of civilization thus disrupted, and our own country on the verge of being drawn into a deadly combat in which the most humane and enlightened nations of the earth were reverting to the practices of ancient barbarism, it is not strange that our merchant friend should have argued that it was a most unpromising situation upon which to construct investment values and business prosperity. It was inconsistent, inconceivable and seemingly impossible that stocks, even good stocks, could continue to advance in the face of such demoralizing conditions.[34] When war was first declared, even before England became involved, the stock market was thrown into such a violent state of panic that it became necessary to close the stock exchange for several months; yet now when the clouds of disaster were at their darkest and hung menacingly over the whole of civilization this country alone was indulging in a riotous exhibition of prosperity such as had never been dreamed of. The market tipsters, the financial editors of newspapers, the brokers' letters and all stock market literature, with but few exceptions, were crowing loud and boastfully for still higher prices, and after the whole group of stocks had risen in unison for a time, some individual stock was singled out every day or so, pushed into the forefront and skyrocketed to dizzying heights. The brokers and all the customers were delirious with joy and excitement.

The stock brokers were all bulls, the traders were bulls, the tipsters and rumor-mongers were bulls—even the office boys who called the quotations from the tickers were bulls, and shouted vociferously when some special stock jumped a point or more from the previous[35] quotation; and it seemed to our trader that in calling out the advancing prices special emphasis was always given to the particular stocks he was short of. He was literally beset with bullish exultation and bullish news from everywhere. The noisy enthusiasm in the board-room rankled in his ears and rasped on his over-wrought nerves. He felt as one could imagine a tiny lone bear would feel in the center of a great arena, surrounded by a cordon of cavorting bulls. To him it seemed that he was the only bear on earth. There might be others, but they were too cleverly sequestered to admit of sharing his misery with them.

NOBODY LOVES A BEAR

In a bear market a discouraged bull is at least not despised; he may find a sympathetic[36] sufferer; but in a bull market no one ever wastes any compassion on a bear, or admits sympathetic kinship with him. He is popularly regarded as a pessimist, a destroyer of values, a discordant note, an uninvited guest at a banquet. If it be a true saying that "misery loves company," it must follow that wretchedness is accentuated by noncommunion with fellow-sufferers; in which case it may be said that the situation of a bear in a rousing bull market represents the *ne plus ultra* of hopeless desolation.

At length it became a mooted question whether to "sit tight" and wait for the boisterous storm to blow over, or cover his shorts, buy more stocks and go with the tide. Heretofore he had maintained a stolid attitude, born of self-confidence, inspired by a triumphant business career, and supported by precedent and every reasonable prophecy. The traders had simply gone mad and were rushing headlong to their ruin, as they had often done before. History was merely repeating itself. It was a time for sound cool-headed judgment, and he stood firm in the determination not to lose his head and join in[37] any such reckless carousal. But the more he reasoned and studied the charts, the more unprecedented and obstinate the market became. One thing he failed to consider was, that the favorite caprice of the stock market is to violate precedent, and to do the thing least to be expected of it. The newspapers gave front page double-column headings to business improvement and stock market news—the enormous demand for textiles, increased prices for all commodities, easy money conditions, all labor disputes amicably adjusted, and the stage all set for the greatest era of prosperity the world had ever known. The financial columns of the newspapers literally teemed with bullish interviews

with financiers and bullish reports in all lines of trade and finance. There was scarcely a discordant note in the rush and rhythm of progress; and when one was faintly sounded the general din instantly smothered it. Even the great cataclysm in Europe was now construed as an additional bull point, because our factories were all running night and day to supply the armies with equipment and provisions. It was argued[38] that the more they fought the more supplies they would need, and the more money we would make in furnishing them; also that the more ships the Germans torpedoed the greater demand there would be upon our shipyards to replace them. The nation had indeed gone prosperity mad, while the rest of the world was going to destruction—certainly an irregular and puzzling phenomenon. Occasionally when some veteran writer piped a note of warning to stock speculators, it was met with a new outburst of bullish demonstration, and the market swept on like a conflagration in a city built of tinderwood. Stocks that had lain dormant for months suddenly came to life and became the favorites of powerful cliques; corporations that had never earned their fixed charges were said to be piling up enormous surpluses, the railroads and steamship lines were glutted with traffic, the factories, steel foundries and ammunition plants were running night shifts, banks and millionaires were said to be buying everything for control, whole fleets of grain-laden ships were going abroad and the farmers were simply wallowing in wealth; the[39] retail stores were jammed with eager customers, labor was all employed at high wages, and Big Business was rushing with all the force of an avalanche along Prosperity Highway, without a danger signal in sight.

Gradually, though manifestly, it became evident that to resist such a tremendous momentum was as expensive as it was exasperating; and his hitherto fond illusions of greater wealth were dispelled by a

terrifying reality. But a man who has been right all his life is not easily convinced that he is wrong in a market position that seems justified by common sense and fundamental conditions. And yet, however steadfast human resolution may be, it is wellnigh impossible to maintain a fixed attitude in opposition to such a cumulative and overwhelming force. The sensation of being short in a rampant bull market has been pictured as similar to that of being chained by the heels to a rising balloon, without any idea of the height to which the gas will carry it—not a cheery picture for the contemplation of one who is bearishly disposed. It is therefore easy to understand how likely one is under these[40] "third degree" operations to lose his mental bearings, his nerve—and his money. A trader who is long of stocks knows to a certainty how much he can lose on any given number of shares; but on the short side there is no limit to what one may lose, even on a few hundred shares. The loss of a definite sum, whatever the amount may be, can be borne with equanimity by a man of nerve; but to maintain a short position in a bull market gives one about as uneasy a feeling as it would to have a number of outstanding promissory notes with the amounts left blank for some unknown person to fill in. It keeps one in a constant state of fear, and fear knows no limitations; it contemplates and magnifies every baneful possibility.

However, this man of iron nerve, this erstwhile dominant figure in the leather trade who had ridden for a quarter of a century with his feet firmly in the stirrups, was not to be easily unhorsed. At the close of a turbulent day he took account of stock and decided to "cover" (buy in) all the dividend paying stocks he was short of, and to sell an equal number of additional shares in the non-dividend[41] paying issues, such as Bethlehem Steel, General Motors and Studebaker. The reckoning showed a paper loss of a quarter of his million dollar capital, but he bore it courageously, determined to recover it by adopting the

safer course of “shorting” only such stocks as had never paid dividends, and perhaps never would. Therefore he sold more Bethlehem Steel, at $80, $90, $100, $150 and $200 a share. He sold Studebaker again at $75, $100 and $150, and more General Motors at $100, $150, $200; and a hundred shares at every fifty points advance until it reached $500. Those who knew him in the board room said that throughout this ordeal he maintained the most inflexible nerve they had ever known; but at the close of the market on that memorable day in 1915 when Bethlehem Steel touched $600 a share he collapsed in a state of nervous prostration and was taken home in an ambulance. He did not live to see General Motors sell at $850 a share (on October 25, 1916) and Bethlehem Steel at $700 a share (on November 18, 1916). Long before these figures were reached his million dollar capital had vanished[42] and he had crossed the bar into the Great Beyond. His widow was left almost penniless and he was buried at the expense of his Lodge. Shortly before passing away he remarked sorrowfully to a friend at the bedside,—“In the past year I’ve suffered every torment known to the demons of hell. My only grain of comfort is that it’s all over now and I have nothing more to lose.”

From this tragic experience it is obvious that there is but little comfort or profit to be gained on the short side of a protracted bull market; and the natural inference must be that the “long” side of such a market is as felicitous and profitable for bulls as the short side is discomforting and unprofitable for bears. In theory it is, but in practice there are comparatively few who make large gains, and fewer still who “get away” with them. It has been authoritatively stated by the head of the world’s largest gambling emporium that it is impossible for any human being to beat the roulette wheel for any considerable length of time; and that human nature is so constituted that nearly all of those who make large winnings continue to play until they[43] have lost all their

gains, and perhaps more. In the first place, there are thirty-six numbers, with a single and double zero,[1] on the wheel; if a player places a dollar on each of these he stakes $38. He must inevitably win on some one of the numbers or one of the zeros, whereupon he collects $35, together with the dollar risked on the successful number, making a sure loss of two dollars, which is the house's fixed percentage. If a player wagers a dollar on one number, with an even break of luck he is due to win $35 (and also to get his dollar back) once in thirty-eight plays. At this rate, for every $3800 risked he is due to lose $200. Players often stake as high as two to three thousand dollars, or[44] even more, on every spin of the wheel; from which it will be seen that with average luck, at this rate of play one will lose more than a thousand dollars an hour. It is said to be a proven fact that the chances are so much against the player, that a roulette wheel can be run at a profit, even if the percentage in favor of the house is entirely eliminated. This is due to the fact that the excitement of play causes a certain confusion of mind, and players are prone to do the wrong thing; for instance, double their bets when in an adverse run of luck and "pinch" them when luck is running favorably. Or, on the other hand, players who have pressed their advantage and doubled in a run of favorable luck will continue stubbornly to plunge long after their luck has changed. Precisely the same psychology applies to trading in stocks.

FOOTNOTE:

[1] At Monte Carlo the roulette wheels have only one cipher, but at the end of each turn of the wheel the person (or persons) playing on the winning number usually contributes a disk (or one thirty-fifth of the amount won) to the croupier's "box," which amounts to about the same thing as having two ciphers, without this customary gratuity. It is

said that one-half of the amount of these voluntary contributions goes to the corporation, and the other half pays for the entire upkeep of the establishment, including the salaries of the croupiers and other attaches. The same disks are used by all players, and a winner who persistently ignores the “box” is not apt to be favored by the croupier when another player claims his winning bet, as often happens.

FRENZIED SPECULATION IS THE RANKEST FORM OF GAMBLING; IT IS A PERILOUS INDULGENCE

An enormous percentage of stock market speculators become victims of over-confidence after a series of successful trades. Their buoyant spirits increase with every[45] new success, until at length they throw discretion to the winds, extend their risks far beyond the margin of safety, and at the infallible turn of the market they find themselves in difficulty, like foolish fishes that get stranded on the beach at high tide. It is a fact, as inexplicable as it is true, that men with a fair amount of gray matter in their heads, who would flout the idea of paying $50 a share for a particular stock, will later borrow money from a broker at from six to eight per cent. to buy the same stock all the way up from $100 to $150 a share on the slenderest permissible margin; and, instead of proportioning the margin of safety to the increased carrying risk they narrow it by continuing to buy as the prices advance. Also there are many who after selling their stocks at a handsome profit will buy them back at twenty, fifty, eighty, or a hundred points higher, and with much less timidity than they felt when they first bought them at low figures. Prosperity in the stock market seems to encourage optimism, rashness and impatience in about the same degree that adversity discourages enterprise and aspiration.[46] But there is far greater danger in excessive optimism than in excessive pessimism, for the reason that optimists are inclined to back their hopeful views by indiscriminate purchases of stocks at high prices, while pessimists are seldom disposed to back their views at all. The risks incurred in buying stocks on a “thin” margin are so manifest that it seems almost as platitudinous to mention them as it would be to remark that children endanger their lives when they congregate on thin ice.

THE DANGERS OF INVERTED PYRAMIDS

It was a wise custom of the ancients to build their pyramids with the big end on the ground; but modern builders of pyramids in the stock market have reversed this time-honored[47] practice, and most of them build their stock pyramids with the heavy end up; therefore they invariably topple over after reaching a certain height. For example, when a certain stock known as Lake Copper was selling at $5 a share a trader bought five hundred shares, expecting to double his money on it, as the stock was "tipped" to go up to $10. When it reached that figure, instead of selling he bought another hundred, and put in an order to sell the whole lot at $15 a share. Before it reached his selling price he cancelled the order and raised it to $25; again cancelling it and buying another hundred at $25. By this time he was convinced that it would go to $50. He bought five hundred more at $40, then the stock dropped back, and fearing he might lose all his gains he sold a thousand shares at $30. Although he had lost $5000 on the last five hundred shares he still had a profit of $4500, less commission, after deducting the full cost of the two hundred shares still remaining. The stock recovered to $50, and encouraged by the "street" gossip about rich ore bodies being uncovered, with accompanying reports[48] that the stock would be cheap at $75, he bought back at $50 the thousand shares he had sold at $30. At $60 he sold five hundred shares, which he afterwards repurchased, with five hundred more, at $75. By this time the speculators had discovered that the mine was one of the richest prospects in the Lake region; it was rumored that the company's stock was being bought for control by a large mining company whose property it joined, and the stock was "tipped" for $150. Many surmised it to be another Calumet & Hecla, which had sold at $12 a share, and afterwards at $1000. From here on up he

"pyramided," buying a hundred shares at every point advance, and wisely protecting his profits with "stop loss" orders a few points under the market price. Once the market reacted and five hundred shares of his stock were sold on "stop," after which the price quickly recovered, and being assured that the stock had been hammered down for the sole purpose of "shaking him out," he bought back the five hundred shares at five points higher than he had sold it. To prevent another similar *coup* he cancelled all stop loss orders and[49] took his chances in the open market, confident that he could not be beaten as long as he was trading on "velvet" with an original investment risk of only $2500. When the stock reached $85 someone half convinced him that it was time to cash in his profits, and he put in an order to sell the whole lot at $90, including the additional shares he should buy on the scale order up to that point. When the price approached $90 he cancelled the selling order and put it in at $100. Later the price reached $94.50, and he had thirty-two hundred shares, on which he could have cashed in a fortune. But what was the use cashing in then, when he was in a fair way to making half a million, or even more? After reaching $94.50 the stock began to decline, and here the top-heaviness of the pyramid commenced to manifest itself, for with every downward point he was losing $3200. When the price got down to $75 his broker demanded that he either put up more margin or lighten his load by selling a thousand shares or so. The stock continued to go down, and again the broker called on him for more margin. Soon after putting up all the[50] money he had, and all he could borrow, the broker was obliged to close out the account to protect himself. The stock afterwards went down to ninety cents a share.

THE LURE OF THE COPPER BOOM—AND BOGUS SECURITIES

Of course the speculator who buys stock in a new copper mine is simply taking a gambler's chance that ore will be found in paying quantities. Most of those who have submitted to this enticement in the past thirty years do not need to be reminded of the hazards attending such risks. I recall that about twenty-five years ago, when the "copper fever" was raging throughout the country—and in Boston especially it was highly infectious—a half-page advertisement appeared in one of the leading Boston newspapers, relating in graphic terms the discovery of the most remarkable copper mining prospect that had ever come to light. The chief mining engineer of one of the largest and best known copper mines in the United States—a man of wide experience and vast knowledge in the mining business—while prospecting somewhere in the West came upon what seemed to[51] him the richest deposits of copper ore he had ever seen. These ore bodies were said to be located in a large mountain, conveniently near a railroad, and by tunneling into the side of the mountain the ore could be trammed out, dumped onto the cars and hauled to a smelter a few miles away. The mining engineer (whose full name was given) had immediately resigned his position, organized a stock company, known as the Occidental Copper Mining Company—into which he admitted a number of personal friends—bought the property, and began tunneling operations on his own capital and what he had raised among his friends through the sale of stock in the new corporation. Having exhausted their funds and desiring to continue exploration work—which became more and more promising—the directors had sold a block of treasury stock, the par value of which was one dollar a share. The latest reports showed that the work was progressing satisfactorily under the personal direction of

the engineer who had discovered the mine, and that stockholders might expect dividend returns inside of a year or so. The[52] advertisement was inserted, not by a stock-jobbing firm or underwriting syndicate, but by a well known wholesale and retail grocery and provision company, who claimed that after fully investigating matters they had bought a large block of the stock, twenty thousand shares of which they would distribute among their customers at the par value of one dollar per share. I called on the president of the grocery company, who said his firm thought so well of the prospect that they had bought twenty thousand shares as a speculative investment, and a like amount to distribute among their customers. He represented that although the shares were easily worth $5 each he considered it good advertising for his company to sell them at par, $1; and with a view to extending the benefits as widely as possible he preferred to dispose of the stock in small lots. He cheerfully gave me the names and addresses of the directors of the new mining company and suggested that, if interested, I might write to them. One was a physician of good repute, another was general auditor of the Chicago, Milwaukee & St. Paul Railway Co.,[53] another was a western lawyer of prominence, and so on. I wrote to each of these three, telling them of my interest in the matter, also asking for a candid expression of their opinions about the property. Each of them sent me a personally written reply, substantially corroborating what information I already had, and saying that they had given their names and their financial support to the company solely upon the recommendation of the mining engineer, whom they knew personally and trusted implicitly. Further than that they knew nothing, but were willing to take a gamble on his judgment. After receiving the second of these three letters I hurried to the office of the grocery and provision company, and to my great disappointment, found that they had only a few hundred shares left. When I told the president that I would take

the entire lot at his price, one dollar per share, he shook his head. He said the stock was going rapidly in five, ten, and twenty share lots, and that in justice to their other customers and friends he did not think it fair to let me have more than one hundred shares at most. But finally he yielded[54] to my persuasive argument, that inasmuch as he had only a few hundred shares left he might as well let me have them all and thus finish the whole transaction at once, saving himself the bother of peddling them out piecemeal.

Nothing further transpired until, some months later, I received a circular from the mining company reporting good progress with development work; also stating that owing to further need of funds to continue this work the directors had concluded to make another offering of treasury stock at the same reduced price at which they had sold the previous block, namely, *at five cents a share*! In the aggregate the advertising feature was probably more advantageous to the customers than it was to the grocery company (which soon afterwards went bankrupt); for although the purchasers, including myself, lost every dollar of their investment, it doubtless served as a warning (which in my case it certainly did) that prevented much greater losses in other swindling schemes.

The task of preparing the prospectuses of[55] the thousands of fake copper mining propositions and oil schemes that have been foisted on the public in the past twenty-five years, and made to appear especially attractive by a price of from five cents to one dollar a share, has developed some of the most remarkable inventive geniuses of modern times. Their advertisements and arguments have been so convincing that the contrary persuasions of bankers and brokers have been absolutely unavailing with friends and customers who have given orders to buy the stocks; and against their enticements there is positively no remedy short of experience. The tempting baits of every

imaginable variety offered by the promoters and dispensers of these bogus stocks have been the means of filching hundreds of millions of hard-earned money from credulous people, who are misled to suppose they are getting in on the "ground floor" of a modern Aladdin's Cave before it is opened to the public. But it always has been so, and probably it always will be. It would be as useless to warn the general public, or even particular individuals, against these alluring ground-floor propositions as it would[56] be to warn a flock of goslins to keep out of a mud puddle. It's like admonishing a boy against a hundred kinds of mischief; he will surely find some act of deviltry not included in the list, and his defence will be that you didn't tell him not to do *that*. And this argument is the more unanswerable because you well remember having used the same stratagem yourself.

THE PERILS OF OVER-ACQUISITIVENESS—THE HUMAN ELEMENT IN SPECULATION

Reverting again to the characteristic bent of speculators who trade on the constructive side of the market, some years ago a man of my acquaintance bought a hundred shares of Union Pacific at $120 a share, just for "a turn of a few points," as he expressed it.[57] Within a few days he sold it at $125, making a net gain of $500, less commission,—equal to more than five years' interest at six per cent. on the $1500 he put up as margin. Someone afterwards convinced him that he was silly to have sold out at $125, because the stock was sure to go to $150; therefore he bought it back at $130, and at $135 he took on another hundred. The stock dropped back to $125, and on hearing from someone else that it was likely to go down to par he sold the two hundred shares at a net loss of $1500 and commissions. About that time somebody discovered that the Company was likely to distribute its large surplus, consisting of Baltimore & Ohio stock and other securities, and the stock rebounded to $135, at which figure my friend repurchased the two hundred shares he had sold at $125. At $139 he bought two hundred more, which, in a spasm of fright, he sold when the price suddenly dipped down to $133. Later, at $140, he recovered his nerve, also the last two hundred shares he had sold at a loss. At $160 the stock looked cheaper than it had at $120, and having a safe margin of profit[58] to trade on he bought five hundred more. At $170 it was reported that Harriman (who controlled the road) was buying the stock, and encouraged by the entry of such distinguished company my friend plunged in and bought a thousand shares more. When the stock got to about $190 it was noised about that the great railroad magnate had completed his purchases, so the price went down a few

points, again frightening our trader into taking a loss on three hundred shares he had bought at $189. But concurrently some wise tipster had discovered that the price had been depressed purposely, to enable other "inside interests" to accumulate a large line, and in a short time the price climbed to $200. By this time my affluent friend was becoming somewhat disturbed and confused, but lured by the prospect of greater gains he managed to regain his composure, and bought five hundred shares more; figuring that as long as he was trading on profits he had everything to gain, and nothing to lose. From here on the stock maintained a fairly steady upward course, and not to be outdone by the greedy "insiders" he bought three hundred shares at[59] every point advance until the price reached $212, when he had accumulated fifty-one hundred shares. The net paper profit of well over $100,000 looked exceedingly tempting, and acting upon his own judgment, seconded by the good advice of his broker, he wisely closed out the entire lot, invested the net proceeds in government bonds, bade good-bye to the market, and planned a three months' excursion to Europe. So far, so good; but—

"U. P." (along with other stocks) continued its upward course, accompanied by much excitement and jubilation among the "longs" with an equal measure of apprehension and despondency among the hard-squeezed "shorts." When our trader was preparing for his departure he happened to read a review by some stock market wizard who reported that according to "late inside information" a dividend of $100 a share in securities would be declared on Union Pacific, and that the stock would pay $10 a share in annual dividends; consequently at $250 a share it would be cheap. Whereupon my friend, who occupied the uncomfortable[60] position of a "sold out bull," became wretchedly aware that he had dropped out of the race long before the course was

completed, and by doing so he had thrown away a grand opportunity of making nearly $200,000 more.

It may here be explained that the mental attitude of a "sold out bull" toward a rising market is much the same as that of a bulldog chained in his kennel while a dog fight is going on outside. A speculator may stand by and view with unruffled complacency the most enormous profits of others in securities that he never owned, but if one of his own pet stocks continues to advance after he has sold out, it not only reflects the error of his judgment, but the remorse he suffers in contemplating the additional sum he *might* have made dampens all the pleasure of reflecting upon the profit he actually *did* make.

Reluctant to admit such a costly blunder in judgment, determined not to be surpassed by his fellow-traders, and flushed with the victory of his recent exploit, when Union Pacific was selling at about $215 this "sold out bull" put in an unlimited order to buy five thousand shares. When his broker on the[61] floor of the exchange began bidding for this amount of stock the crowd instantly surmised that some big operator was being "squeezed" on the short side, and before the purchase was completed the price had jumped to $219, the highest point it ever reached. After steadying itself for a while at around this figure it took a downward plunge, and a few weeks later our trader who had retired from the market with upwards of $100,000 profit, closed out the last hundred shares, saving a little less than the $1500 he originally put up as margin. His escape from utter financial ruin was largely due to the insistent advice of his broker that he should steadily lighten his load on the way down, rather than try to protect the whole lot by putting up additional margin.

The man who made this play in Union Pacific was a college graduate, and a veteran trader, with twenty years of hard-bought experience and

a good family name behind him. While his experience, together with the advice of his broker, saved him from a heavy loss it might easily be supposed that the former alone would have prevented him[62] from falling into the common error of novices. From which it may be observed that in stock speculation, as in other pursuits, wisdom and the ability to master one's own impulses are sometimes late in arriving at full maturity. Indeed a broker who for upwards of thirty years has held a position of outstanding prominence on the floor of the New York Stock Exchange—a man who often handles a hundred thousand shares or more in a single day—once admitted to me that while he generally made money for clients who entrusted him with optional orders, yet he regularly lost more than half his enormous commissions trading on his own account. Which calls to mind a wise saying of the old Greek philosopher Heraclitus, five hundred years B.C.—"Many men have no wisdom regarding those things with which they come in contact; nor do they learn by experience."

The man who made the splurge in Lake Copper was a daring young Lochinvar who came out of the West, with only a moderate sum of money, but an ample store of ambition; and although enjoying a large practice in an honorable profession, he occasionally[63] took what he called a "flyer" in the market. For some years he was kept pretty busy clearing up the results of his miscalculations in this adventure, which I imagine was his last "flyer." I have remarked that "experience" might reasonably have been counted upon to safeguard the man in the Union Pacific deal against the error of over-acquisitiveness; and seeing it did not, it would seem that the very *in*experience of our other trader should have made him less daring. From which we may conclude that in stock trading, all speculators, whether experienced or inexperienced, are subject to those inscrutable laws of psychology

which Nature herself seems to have designed for the discomfiture of those who play at the wheel of Fortune.

THEY ALL RESOLVE, BUT THEY ALL GO BACK

One often hears the stock trader's sad lament,—"If I ever get even, I'll get out and *stay* out!" But I never knew one of this class who ever got "out even" and I never heard of one who stayed out if he did get out even. If they get out, leaving a dollar in, they go back after it; if they get out a few dollars ahead, they go back for more; in any[64] case they all go back. They wouldn't be content to stay out of the market any more than a little shorn lamb would be content to stand overnight uncomplainingly in a blustering March storm, outside the open gateway to a sheepfold where his brother lambs were snugly housed.

A NEW KNIGHT-ERRANT IN SPECULATION

Another incident occurs to me, which is so typical of those who become infected with the stock market microbe that it seems worth relating. A few years ago a young friend appealed to me for advice as to the best method of investing about $10,000 surplus which he had taken out of his business the previous year with a view to placing it out at interest. I recommended several preferred industrial[65] and railroad securities which seemed reasonably safe as a business man's investment, and suggested that he put about twenty per cent. of the amount in each of five different stocks. He knew nothing about buying securities, so I introduced him to a reputable firm of bankers and brokers, and in addition to warning him to buy no more than he could pay for in full, I cautioned the head of the firm not to encourage, or even to permit, him to speculate on margin. He bought twenty shares each of five investment stocks, and a few weeks later he informed me, quite excitedly, that already his purchases showed a profit of more than six hundred dollars; also that inasmuch as the market was "going higher" he thought he ought to double his holdings. The mistake I had made in advising him to buy stocks, instead of non-speculative bonds, was now plainly evident; but I could do no more than caution him to stick to his own business and leave the stock market to others. He insisted that he could see no harm in buying a few more shares and margining them fifty points or more with the stocks he then owned; that it would not distract him in the least from his[66] business, nor would it subject him to any risk or anxiety. My counter argument that stocks, having already advanced to a high average level, were as likely to decline as they were to advance further, was totally unconvincing. My young friend had caught the speculative infection; which, like typhoid fever and smallpox, must run its course. It can be treated, and

sometimes mitigated, but not cured; in some cases not even by bankruptcy.

About four months later, on returning home after a few weeks' absence, I received a telephone call from the head of the brokerage firm, informing me that the young man had sold out all his investment securities, and was in a raging fever of speculation; that he was buying and selling all sorts of highly speculative stocks in lots of from a hundred to five hundred shares, and that he spent two or three hours a day watching the ticker. He paid no heed to repeated warnings, and threatened to take his account to some other office if his orders were not executed as given. "What am I to do?" the broker asked in despair. "This young daredevil will probably[67] be in bankruptcy in less than six months."

On the losing side there are at least three distinct classes to be found at all times in stock market circles: one class who know nothing about the market, except what they read or hear; they are guided by floating rumors, the advice of well-meaning friends, and the spumous counsel of market tipsters. There is another class who arbitrarily suppose they have learned everything there is to know about the market; they possess a large store of cynicism and skepticism, and their market maneuvers are guided by a monumental self-sufficiency that would be a valuable asset in trading but for the fact that it is worthless. There is a third class who, although they really know the practices, theories, precedents and possibilities of the game, are not temperamentally qualified to utilize this knowledge in their transactions.

Of course every banking and brokerage firm has a few customers who go into the market and buy stocks and bonds during seasons of depression and afterwards pay no attention to the daily or weekly fluctuations until prices reach a stage where it seems advisable[68] to

sell out; then they dispose of their holdings and leave the market to the traders until bargain day comes round again. But the foregoing examples symbolize the mental attitude and customary procedure of an overwhelming majority of the trading public. This being true, one may draw from them some idea of how important a part psychology plays in the destinies of those who speculate. It would be erroneous to suppose that the characters who play these rôles are shallow-brained dolts because their actions (judged by results) appear nonsensical to the rational and composed mind. On the contrary, the speculative element represents for the most part men of uncommon shrewdness and foresight; men of studious and analytical minds; men who are, or have been, masters of every situation in their own professions or commercial vocations, even though most of them act like children when they get tangled up in the meshes of stock speculation.

Nor should it be imagined that the stock market is primarily a guessing game, or a game of chance; or even an unbeatable game; or that it is run by a gang of swindlers or[69] mountebanks. Gamesters and swindlers may play at it, but the game itself is as straight and legitimate as any business pursuit. As a matter of fact it is one of the fairest and most open games ever played; a game in which every participant, man or woman, rich or poor, old or young, has an equal chance. The fact that most people resort to mere guessing and gambling in their stock transactions does not make it necessary to qualify this statement; neither is the truth of the assertion altered by the fact that certain individuals and organized cliques of traders manipulate stocks, both up and down, with utter disregard of basic values, and in this way set cleverly baited traps for other traders who imagine[70] themselves wise enough to pluck the bait and get away without springing the trap. A trader or investor in stocks is not obliged to participate in these machinations, any more than one who goes to a

circus is obliged to bet on the shell games and other tricky money-making devices that are sometimes run in conjunction with traveling menageries, but are no part of the main performance.

A person who buys a piece of improved real estate for less than half of its actual worth is reasonably sure he has a bargain; but if he afterwards sells it at a fair price, and later buys it back again at a much higher figure, he is gambling that for some reason or other it is going to be worth more, either actually or fictitiously. Nor is it ever unsafe to buy good stocks at figures away below their intrinsic worth. The element of gambling does not enter the undertaking until the market price has risen above the investment value; then if the owner refuses to sell, or buys more (as the speculator usually does) he is gambling on the uncertain event that some individual or clique is going to pay him more than the stock is worth. When one[71] buys a stock, either for investment or speculation, its value cannot be permanently affected by the action of other traders, and no individual or group of individuals can euchre an investor out of his stock except by his own free will. The man with a hundred dollars has the same relative chance for making money as the man with a million; but the difficulty is that the one with the smaller amount is ambitious to make equally as much as the one with the million; therefore he resorts to gambling on thin margins; and not being content with ordinary risks he plays a long chance shot. If he wins, instead of withdrawing the original capital, with perhaps a little more, he usually stakes the whole amount on every venture until it is lost.

Viewing the stock market calmly in the perspective, it is not a question whether stocks will rise or fall; of that there is not the slightest doubt. They rise and decline with the same certainty that the sun rises and sets, though of course with less regularity. The only question is, how *far* they will go in either direction.

The action of the stock market much resembles[72] that of a troubled sea, which is always uneasy, rolling and tumbling about as if undermined by some volcanic force. The prices of stocks are periodically rising and falling, and one might as well undertake to fight the ocean tide as to contest the course of the stock market when once in full swing in either direction; for the market, unlike the tide, has no prescribed boundaries. There are times—indeed most of the time—when it is much wiser to sit by in the capacity of an interested observer, than to plunge in and become a struggling participant, with the chance of being carried out beyond one's depth. Theoretically, there seems to be no reason why the stock market should not move along at a fairly even pace, except in case of[73] some unexpected crisis; but practically, it is either abnormally high or unreasonably low most of the time. Stocks, like food, clothing and all human necessities, are more or less subject to the laws of supply and demand; and when the traders and investors throughout the country become convinced that it is time to buy stocks, a bull market is sure to ensue; then when everybody has acquired all they want—and some of them more—and they make up their minds to sell, it is only natural that values should recede; which they do, usually to somewhere near the low point from where they began to rise. This process of sliding up and down the scale is repeated year after year, and age after age.

No one has ever been able satisfactorily to explain why the prices of all stocks, both good and poor, and even gilt edge bonds, keep an almost even pace in the backward and forward swings, but they do; and thousands of people who have placed their savings in securities that are as sound and safe as a savings bank have viewed with alarm the crumbling market values of their investments, wondering what has happened to their[74] particular stocks or bonds, and if the slumping prices foreshadow a reduction in dividends, or if interest will be

defaulted on coupons. Investors who own bonds or good dividend paying stocks need not be troubled over these capricious changes; but others of a more venturesome or speculative bent are forever wondering when they ought to get in or out. Of this latter class it is the best guessers who win.

SOME SIGNS ARE COMPREHENDIBLE; OTHERS ARE HARD TO INTERPRET

It has been wisely observed by one who is more famous for the wisdom of his writings than for the amount of money he has made in speculation, that when a market reaches the top there is no visible sign to indicate it; that on the contrary, at this critical point, everything seems to indicate much higher prices. Also the majority of traders, tipsters, financial editors, and even the brokers themselves, are apt to be most bearishly disposed when the market is at its lowest point. This same authority declares that when the "cats and dogs," that is, the poorest and most neglected stocks in the list, begin to advance[75] it is time for holders of securities to cash in their profits. It might be further observed that when plums get ripe and the melon season is on, it is a sure indication that summer is well advanced; likewise when, after a long season of bullish anticipation, the stock market "plums" are being distributed, and the "melon-cutting" process is in full swing —when the favorite "mystery" stocks have disgorged their "hidden assets," and begin to sell ex-rights, ex-dividend, ex-merger and ex-mystery, it is a pretty sure sign that the "bulls" are running short of provender, and that the "bears" are about due for their inning. A man who accumulates large paper profits in speculation and fails to "cash in" until a large part, or all, of his gains have been dissipated in the process of deflation which inevitably follows every boom, is comparable to one who plants a field of grain and refuses to harvest it at maturity, hoping that the ripened kernels will get a little larger. Many a speculator has been brought to grief by an insatiate greed for that coveted topmost point, instead of being content to sell at a good

profit and leave the possibility of a[76] small gain to the individual who buys his stock.

NONE ARE SO BLIND AS THOSE WHO REFUSE TO SEE—NONE SO FOOLISH AS THOSE WHO SCOFF AT WISE COUNSEL

While there are various danger signals which indicate the culmination of a bull market, just as there are others which mark the final stages of a bear market, it must not be supposed that these signals stand out like so many red lights placed in front of a ditch at the roadside; on the contrary they are of the most deceptive and decoying nature to all except experienced and dispassionate observers. And even the best judges are frequently deceived. On this point one of the most reliable financial writers in the country says: "Not all of the economic indicia ever turn together at any peak or bottom in the securities markets. Always the case is that some of the indicia disclose the change, while others do not. The public usually keeps on expecting a bull movement to continue, no matter how unreasonably high stocks may sell. This persistence of bullish sentiment greatly facilitates distribution by wealthy holders."[77] This timely note of warning was written early in January of the present year, when a great bull market after running about two years was at the boiling-over point; but very few bullish traders ever pay any attention to such counsel; nor would they if the danger signals stood out like beacon lights along a treacherous shore. A few days later the following bit of good advice was issued by a Boston broker:

"For fifteen months this country has enjoyed clear skies, politically, economically and financially. Washington Irving begins his essay on the Mississippi Bubble with the phrase, 'There was not a cloud on the horizon,' and then goes on to state that the prudent mariner takes

cognizance of such ideal conditions and prepares for the inevitable change. Today, after fifteen months of national sunshine and cloudless skies in all directions, we believe it behooves a man of affairs to take counsel with himself relative to his investment and speculative position. Many business men who should have learned better by past experience, still take the business situation as a guide to their stock market[78] operations in spite of the fact that all stock exchange history shows that the market turns up long before a period of business depression has run its course and likewise turns down six months or more before prosperity comes to a pause."

Speculators can usually find an abundance of literary food suited to their particular tastes, as witness the following, issued by a prominent market forecaster simultaneously with the above: "We wish you to keep in mind that the biggest speculation yet witnessed in the present bull market is still to come. Now that the reactionary trend in the market has been definitely halted, you can look with assurance for higher prices in many issues in the near future. Continue to pick up our favorites as outlined in our letters, as we expect them to prove features." Most of the "favorites" were then selling at figures far above their intrinsic worth, and many of them have since fulfilled the prediction that they would "prove features," for soon afterwards they declined anywhere from ten to fifty points.

The active participants in a market that[79] has run a long course in either direction are wont to become so intoxicated with affluence, or downcast with adversity—depending on which side they have been operating—that they give little heed to the matter of interpreting signs which forecast future events, particularly if these signs controvert their own opinions. A man driving an automobile at a sixty-mile-an-hour pace does not stop to read signs by the roadway; and no more does a trader bother with warnings when a prolonged series of stock market

victories has blurred his vision to everything but prosperity. As every unfamiliar noise or object tends to aggravate fear in those who are frightened in the dark, so every concurrent happening stimulates courage and recklessness in those who become emboldened by stock market success. Paradoxical though it may seem, many things which are construed bearishly in a falling market are regarded as bullish in a rising market; and signs which portend higher prices in the mind of a bull are equally significant of lower prices to the mind of a bear. In other words, both bulls and bears often derive their opposing opinions[80] from the same identical hypothesis. These strange anomalies are not mere theories, they are attested stock market facts.

For example, in a bear market some years ago the stock of the Amalgamated Copper Company was depressed several points in one day on the report that the dividend was to be reduced. Next day the report was denied and upon supposedly good authority it was stated that the regular dividend had been earned and would be declared. Whereupon the traders—who were mostly bearish—argued that a declaration of the regular dividend would be a bear argument, because it ought to be reduced and if the usual amount were declared it would be only for the purpose of furnishing artificial market support to the stock; consequently it was again depressed a dozen points or more. Later when the trend of prices had turned upward this stock advanced sharply on the report that the dividend was to be increased. Although the report met with prompt denial, the stock was nevertheless bid up several points more on the theory that if the dividend were not increased it at least ought to be, and if only[81] the regular declaration were made, that would be evidence of a commendable policy of conservatism.

EVEN THE STOCK MARKET HAS ITS FARCICAL SIDE

Some of the stock market philosophies and inventions are quite amusing to the unsophisticated onlooker. When the Amalgamated Copper Company and the Anaconda Copper Company were under separate management a clique of traders became interested in advancing the market price of the latter stock, and forthwith the tipsters and rumor-mongers circulated a report that Amalgamated was buying Anaconda for control. This device proved a profitable asset for the pool members, who were thereby enabled to sell out their holdings at much higher prices. When this was accomplished and the story had become threadbare, another ingenious story was circulated, to the effect that the Anaconda Company was now seeking control of Amalgamated, whereupon that stock in its turn became the favorite of traders, who succeeded in lifting the price high enough to let the pool unload its holdings at a handsome profit.[82] While these two monster companies were performing the act of trying to swallow each other the traders greatly enjoyed the comedy, in consideration of which they contributed generously toward swelling the purses of the promoters. The final outcome was that the great Anaconda succeeded in devouring its competitor, which appears still to be in process of digestion—or rather indigestion,—judging from the internal agonies expressed in the market action of the stock.

SPECULATORS ARE SLAVES OF SENTIMENT

When the whole country becomes pervaded with an epidemic of bullishness the action of speculators is always directed by sentiment rather than judgment; and a market that is swept along by excited emotions[83] is always dangerous,—dangerous to go short of and dangerous to be long of. Hysterical "bulls" care nothing whatever about the earnings or dividend returns on a stock; the only note to which they attune their actions is the optimistic slogan, "It's going up!" and the higher it goes the more they buy, and the more their ranks are swelled by new recruits. A herd of stampeded cattle (cows no less than bulls) will rush blindly into a river, or butt their brains out against stone walls, trees or other obstructions; they also stampede every critter that happens along their path; and anyone who has ever witnessed a panic in a theater or auditorium, or in the stock market, need not be told that under such circumstances men are but little saner than cattle.

And speaking of sentiment, it is remarkable to what extent the combined business and financial structures of the country are swayed to and fro by this giant motive power. Like the biblical wind that bloweth where it listeth, and man heareth the sound thereof but knoweth not whence it cometh or whither it goeth, sentiment springs up from comparatively[84] trifling or unknown sources and after playing its havoc, vanishes as suddenly and mysteriously as it came. In a bear market a train wreck, or the death of some financier, or an earthquake in Europe, will put the market off to the aggregate extent of hundreds of millions; whereas one of the greatest bull markets in history found its chief impetus in the most universally devastating war the world has ever known.

THERE IS BUT ONE WAY TO BEAT THE STOCK MARKET; THERE ARE MANY WAYS OF BEING BEATEN BY IT

It is admitted by the most sagacious financiers that the only sure way of making money trading in the stock market is to get in and out at opportune times, and to stay out most of the time. As against this there are numerous ways of losing money. Among these, one method in particular is quite popular among a class of traders who although too clever and conservative to buy stocks at "top" prices, have not the patience to wait for "bottom" prices. When values begin to crumble after the top has been reached in a bull market there must be a set of "carriers,"[85] or supports, onto which stocks can be dumped on the way down. The market does not collapse like a ten-story card house; it generally goes down gradually for a while, one or two flights at a time, and finds steadying props every now and then which sustain it for brief periods. For instance, a certain stock paying $5 a share annually has been hoisted by degrees from $75 up to $150 a share. When it descends to $140 a few wise traders who have been impatiently waiting for a reaction will buy it because it looks cheap at $140 after having sold at $150; then at $130 another lot of traders who are a little wiser and more patient than the first lot buy it because it looks much cheaper than it did even at $140; and so on down it finds these temporary supports, until at length it gets back to $75, or perhaps lower, where it is accumulated by a few shrewd investors and bargain hunters whose attention has been attracted to the market by front page newspaper headlines announcing that the stock market is in a state of complete prostration. They go on about their business and pay no

particular attention to the market until the price has recovered[86] to a point where the stock, returning $5 a share, is no longer "paying its board," when they sell out at a good profit, and *stay* out while the speculators carry it on up as far as they like. When the stock was at the bottom price those who bought it on a scale from $140 down were either so overloaded or pessimistic—probably both—that they were unable to buy more and thus reduce their average to a reasonable cost.

THE STOCK EXCHANGE IS A MONUMENT OF BUSINESS INTEGRITY

It is a popular belief with many people that the stock exchanges are highly prejudicial to the public interest and to public safety; as if they actually manufacture stocks, fix their price, and sell them to the public. It is also believed by many persons—even by men with enough brains to buy and sell securities—that whatever they lose on their transactions is gained by the stock exchange or the broker through whom they trade; and that the brokers on the floor of the exchange plan out each day's campaign and manipulate the stocks with utter disregard of the outside world. Furthermore, it is commonly supposed[87] by a certain class of uninformed people that stock exchanges create panics and financial depressions; that they are licensed evils, feeding and fattening upon the credulity of an innocent public. Nothing could be farther from the truth; nothing could disclose a more profound ignorance of existent facts than for one to adhere to any or all of these fallacious beliefs. The stock exchange itself has no more control over the price of securities than it has over the ocean tides. It is merely an auction room where anyone may send in orders to sell stocks and bonds, either at a certain asking price, or "at market" to the highest bidder. On the other hand anyone may put in either a limited or "at market" bid for whatever securities he wants, provided they are on the list admitted for trading; and no securities are so admitted without being passed upon by a committee of competent judges whose duty it is thoroughly to investigate every company before admitting its securities to the board. The great value of this service to both traders and investors is plainly evident. The people who run the exchange have no other privileges, prerogatives[88] or authority than to buy and sell

securities on their own account, or to act as buying and selling agents for the public, and to execute their orders precisely in accordance with given directions. The interests of the public are safeguarded by every known precautionary device, and if a broker makes a mistake he stands the loss, regardless of what the amount may be. In this connection, those who have stood in the visitors' gallery of the New York Stock Exchange on a busy day have been induced to wonder how it is possible for the brokers to avoid errors under such seemingly chaotic conditions as exist there. To the onlooker it resembles a riotous mob scene in a modern cinema, and one might easily mistake it for a place where a lot of frantic men are trying to buy insurance on a sinking ship, instead of dealing in gilt edge securities which are not immediately perishable. A benevolent sweet-natured old lady who stood for a time looking down upon this wild confusion was asked what she thought of it. "I think it's all very interesting," she said. Then after some reflection she added: "But my husband never told me that we are[89] in a financial panic. And even so, why should the men get so angry with one another?"

No matter what anyone may say or think to the contrary, there is no business or profession on earth in which a higher degree of honor and business integrity prevails than among the brokers on the floor of the New York Stock Exchange; and there is no business or profession in which sharp and unethical practices among its members are more quickly detected, or more promptly and summarily dealt with. And by way of passing comment it may be remarked that the going price of $150,000 for a membership on the New York Stock Exchange would seem to imply that the brokerage business is no less profitable than it is honorable. In its certificates of membership the New York Stock Exchange declares itself to be "An institution whose history dates back to 1792, and whose rules and regulations have been formulated for the

purpose of maintaining high standards of honor among its members, and for promoting and inculcating just and equitable principles of trade." And it is required of every member that in every particular he[90] live up to these principles. It is a place where a nod of the head or a lifted finger consummates transactions involving millions of dollars. In ordinary business affairs a deal wherein only a few dollars are concerned is signed, sealed, witnessed and sworn to before a notary; but here contracts involving millions are ratified by a mere gesture, and never questioned by either party.

Every buyer or seller of stocks is a free agent to do as he pleases, and if he gets hoodwinked through the stock exchange it is generally because in trying to outwit or undo somebody else he overreaches himself and falls into his own snare. The only percentage against him is what he pays in commissions and taxes on his trades; and the only chances against him are his own blunders in judgment; these, indeed, are likely to prove a sufficient handicap. Every corporation whose securities are listed on the stock exchange is obliged to make a full and comprehensive report to the exchange at least once a year, and these reports can be found in any brokerage office; they are always open to public inspection, and no one need buy any stock or[91] bond without first satisfying himself regarding the nature of the industry, capitalization, earnings, management and other details. Moreover, if at any time a purchaser becomes dissatisfied with his investment and wishes to get his money back or change into something else, there is always a ready market for the stock. It may be more, or it may be less, than he paid for it, but in either case it can be quickly converted into cash.

The investor in stock market securities may equip himself, free of cost, with full information concerning every listed security; what the company's earnings have been over a period of years, how much stock

and how many bonds are outstanding, the highest and lowest prices at which the stock has ever sold, and all such matters in the fullest detail. He therefore enters “the game,” as the stock market is oftentimes called, with his eyes open, and the cards all faced up on the table. But if he deviates from sound principles and resorts to dabbling in stocks that he knows nothing about, except from hearsay among traders and market tipsters, and undertakes to guess the maneuvers of cliques who are[92] manipulating them, he has no one to blame but himself for indulging in such an expensive folly.

BOOKS TEACH WISDOM, BUT EXPERIENCE IS A MORE PRACTICAL INSTRUCTOR

It may be set down as an axiomatic truth that no one can learn the art of making money in the stock market by reading statistics, charts, precedents, theoretical disquisitions and instructions. Of course it is not needful, nor would it be any more practicable than it is necessary, to set forth any fixed rules or maxims governing one's procedure in any other line of business or any other profession, since no one could use them advantageously without the requisite qualifications, such as adaptability, shrewdness and practice. Hundreds of different combinations of cards are laid out in books of instructions on auction bridge, with explicit directions as to how to bid and play the hands, yet nobody ever heard of a good bridge player being made solely from book instruction. One reason is that there are actually millions of combinations of cards. Also in stock trading there is an indefinite[93] number of needful "don'ts" which the most resourceful person can neither contemplate nor anticipate. Every stock market cycle shatters some precedent; every era produces new phenomena. Everyone who has ever studied a book of instructions on how to play golf knows how impossible it is to take up any golf club and make it perform according to schedule. A firm stance, feet well apart, body under full control, the right knee stiff, the left arm almost rigid as it follows the right in a low backward swing; and most important of all, the eye firmly fixed on the ball, while the club whips through the air, and after lifting the ball, follows on through, carrying both arms forward to their full length, and many other things which I never could do, and cannot now recall; all these directions the would-be player will learn as he knows his A, B, C's; but in his intense eagerness to swat the ball he disregards most, or

all, of the stated essentials, and at the moment of impact, while his club is ploughing up the sod two or three inches behind the ball, his eyes are cast heavenward in fervent anticipation of watching its flight. [94] Likewise the speculator figures his profits long before they materialize. The most important thing in golf, and the hardest thing to learn, is to keep the eye on the ball while in the act of hitting it; and the hardest thing[95] to learn in stock trading is to keep the eye *off* the market, hold firmly and patiently to good resolutions, *and not try to get rich too quickly*. Both look to be easy, but—

Reducing the whole problem to its simplest form, the stock exchange is a well-organized and honestly conducted market-place where anyone may sell or buy investment or speculative securities, at whatever price anybody else is willing to pay or accept for them. There is no more mysticism about the exchange itself than there is about a book auction room, or any other auction room where articles of merchandise are offered at an upset price, or auctioned off to the highest bidder. A man who buys stocks or bonds for investment is not gambling with anybody that they will go up or down; he buys them because he wants to invest his money and get interest or dividends on it. If a stock bought at $100 a share, paying seven per cent. annually in dividends, should increase in market value to $150 it is obvious that the rate of interest on the total capital is correspondingly reduced, and that whereas his original $10,000 brought a return of seven per cent.,[96] the capital of $15,000 is earning a net return of only four and six tenths per cent. Under such conditions it is oftentimes wise to sell out and reinvest the money in other securities which bring a larger net return; or if stocks in general are too high, put the money in the bank and wait for lower prices. The $5000 gain in capital will surely more than cover interest on the original $10,000 investment during the time one has to wait for good buying opportunities.

This reminds me that some years ago, when Calumet & Hecla Mining stock was selling at $850 a share, on which amount it netted only a small dividend return, I asked a friend (who owned a large amount of the stock) why he didn't sell it and reinvest in other securities. My argument was that the stock having already declined from $1000 a share, would probably go much lower, considering that the earning capacity of the mine was in all probability as great as it ever would be; therefore the chances were more in favor of a decrease than an increase in earnings and dividends. To all of which he readily assented, but in view of the fact that he[97] had bought the stock at $50 a share it was paying a very high rate of interest on his original investment; and for sentimental reasons he preferred to keep it,—which he did. Such instances are not at all uncommon; nor is it uncommon to hear intelligent business men remark that they know they ought to sell certain investment securities, because the market price has risen out of all proportion to the income yield, but other good securities are all so high that they really don't know what to put their money in. The chances are probably a hundred to one that if the money were put in the bank and allowed to rest a while at three per cent. interest, it could within a few months be reinvested in the same securities, or other equally good ones, at a net gain of three to five years' interest, or even more. This is not stock gambling; it is merely business prudence.

WHIMS AND FALLACIES IN SPECULATION

Traders and investors too often become stubbornly insistent on recouping their stock market losses in the same identical securities in which they lost their money. After having lost a large sum of money there is undoubtedly[98] a special gratification in seeing it return by the same channel through which it escaped, but the enjoyment of this peculiar satisfaction is hardly commensurate with the risk that many people run in attaining it. In discussing this point some years ago with a friend who owned a thousand shares of stock in a bankrupt railway company which had cost him $50 a share, and was then selling at $15 a share, with a fifty to one chance that the road would go into receivership, I argued that while the loss of $35,000 was a large and bitter pill to swallow, the chances were that it would not be made smaller or more palatable by the inevitable receivership, and that he might as well salvage what he could from the wreckage of his investment. After all, there were dozens of really *good* stocks that had declined more than $35 a share; stocks that would eventually "come back" when the market turned about; whereas with his stock there was a probable assessment of $10 to $15 a share staring him in the face, and after paying that, the stock was likely to sell at a figure less than the assessment to be paid, judging by past performance of the stocks of[99] other companies in receivership. The road was tremendously over-bonded, over-capitalized, encumbered with every conceivable sort of debt, and not earning its fixed charges. He vehemently declared,—"No, I'll be damned if I'll allow those thieves to do me out of that money; they shall pay it all back, and more with it!" He held tenaciously to his resolution, the road fell into receivership, and a few months later he could have bought the stock in the open market at two dollars a share less than he had paid in on the assessment.

A favorite and amusing pastime with a multitude of traders is to cajole themselves into believing that when some stock they own becomes increasingly active after a considerable advance, the renewed activity is a sure indication that "bankers and insiders" are accumulating it for a still further advance. It is well to remember, however, that bankers and insiders do most of their accumulating before the rise begins, and while the outside public is doing its accumulating the bankers and insiders are quietly supplying the stocks. It is quite clear that if the insiders pursued the same tactics as the public they would soon[100] be relegated to the ranks of the outsiders.

It is a common saying, even among veteran traders, that such and such a stock "is a good buy, but you must watch it closely." To *watch* a stock after buying it is about the most foolish thing one can do. To watch it go down is certainly no pleasure, and if it goes up it doesn't need watching. The time to watch it is before buying. In order to limit one's loss on a purchase it is a simple matter to put in an "open stop loss" order somewhere under the cost price; and no amount of diligent "watching" will prevent it from going down. On the other hand, to insure one's profit, if the price goes up, nothing more is required than to put in a "G. T. C." (good till cancelled), selling order at whatever figure above the cost price the purchaser is willing to accept as his profit.

There is probably no more popular fallacy among traders than the one which presupposes that great "pools" and combinations formed to manipulate certain stocks are either made up of officers and directors of the corporations concerned, or else that such pools base their operations upon valuable inside[101] information from some head official. This may be true in rare instances; but generally speaking the directors and officers of the companies know nothing whatever of the pool operations in their stocks, and when they do know they usually

frown on such schemes. Anyone who stops to consider knows that the market prices of the company's securities are of far less concern to the officials than the matter of conducting their business operations at a profit. If the company's earnings are good, it is clear that this fact will soon enough manifest itself in the demand for the securities, without any abortive or clandestine efforts; and if the earnings are poor, it would obviously be beneath the dignity of the officials to deceive the public through pool operations or pool affiliations. A more simple plan would be to utilize their "inside information" by quietly selling the stock.

I recall a particular instance, a few years ago, when there were some tremendous pool operations in the common stock of one of America's largest industrial corporations, and after the stock had been bid up ten or a[102] dozen points it was reported that a "managing director" of the company had assured one of the pool members that it had been tacitly agreed among the directors to declare a fifty per cent. stock dividend at the next board meeting. The public instantly took the bit in its teeth, and inside of a week the stock advanced fifteen points more, which doubtless afforded the clique an auspicious occasion for unloading its holdings, bought at much lower figures. About that time I happened to be in New York, and while lunching one day with the chairman of the board of directors at his club he told me that the matter of a stock dividend had not even been discussed among the directors, and that in his opinion there was no likelihood of any change in the dividend policy for at least a year,—which proved to be true.

PROBLEMS DEFYING PRESENT SOLUTION ARE
BETTER DEFERRED TO THE FUTURE

A matter of present and future importance in connection with many investment and speculative stocks, involving as it does questions on which there is a wide diversity of opinion, is the modern practice of increasing[103] the outstanding shares of corporations by splitting them up into fractions, or by declaring liberal stock dividends. Many of the large companies have recently doubled and quadrupled their shares, and some have issued as high as nine new shares for one, on somewhat the same principle as the Government will issue ten one dollar notes in exchange for a ten dollar bill. And in several instances the fractional shares have been split a second, and even a third time. In past years when there were only a few listed securities it was possible for any well informed person in financial circles to tell the par value and the approximate book value of all the leading stocks, but the good old-fashioned methods are no longer in vogue; there are now 1,045 stocks listed on the New York Stock Exchange alone, representing almost every imaginable industry, from steam locomotives to lunch counters, and under the new capital readjustment process it takes a professional statistician to keep up with the changes and determine what stocks are actually worth. But whatever their value may be, it is at least certain that there is not[104] enough money in the world to cash them all in at anywhere near their present market price. Nowadays it is not unusual for industrial companies to have from five to ten million or more shares outstanding. The lately devised and much over-worked practice of splitting stocks up into small fractions, avowedly for the convenience of traders, savors strongly of the old worn-out custom of “baiting” the public with low-priced issues, ranging from $1 a share

upward. As long as we are riding on the crest of the wave of prosperity there appears to be no imminent danger in such inflation, but when business slackens, as it always has periodically in the past—— However, the optimists contend that these problems are too far in the future to worry about. Furthermore it is not the design of this article to criticise abuses, or to prognosticate future difficulties that seem likely to grow out of them. It is true that some of the companies, notwithstanding the tremendous increase in their capital structures, have not weakened their resources by increasing their cash disbursements. In 1921 the stock of the Standard Oil Company of[105] New Jersey was paying $5 a year in dividends and selling at $124.50 per share. In 1922 it was boosted up to $250.50 a share on the report that shareholders were to receive four new shares for one. After this split-up was accomplished and the authorized common stock increased to 25,000,000 shares,—not dollars, but *shares*!—more than 20,000,000 of which have been issued, in addition to $200,000,000 of preferred stock, the same conservative dividend policy was continued, and the new stock received, and still receives, only one dollar a share annually in dividends. The market price of the new stock went down to a fraction below $31, whence it afterwards recovered to about $46, at which figure it pays a trifle over 2%, or about one half the net return on U. S. Government bonds; and the only visible change in the stockholder's position is that if he wishes to sell his stock it costs about five times what it did before; in other words, to buy and sell the equivalent of one hundred shares of the old stock it now costs $154 in commission and tax—more than eighteen months' income on a hundred shares of the present stock. Possibly there[106] are mathematicians who can figure out some sort of compensating advantage to the stockholder, but I never could.

To sum up the whole situation in a word, those who would make money speculating in the stock market should first understand that it requires as much caution and business acumen as any other money-making enterprise, plus some knowledge of the psychological handicaps; also plus the rare faculty of maintaining a complete mastery over one's impulses, emotions and ambitions under the most heroic tests of human endurance. All speculations, and even the most conservative investments, have some slight element of risk; all lines of business are more or less a gamble; marriage is a gamble; political preferment is a gamble; in fact nearly everything in life, including our very existence, is an uncertainty; yet people are not thereby discouraged from entering into any and all of these ventures. Those who look only for certainties have far to search and little to find in this world.

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The one footnote has been moved to the end of its chapter.

Illustrations have been moved to paragraph breaks near related content, except for the frontispiece.

Variations in spelling and hyphenation were retained as they appear in the original publication, except that obvious typographical errors have been corrected.